mathematically assess the limited downside, the reality was that realizing a return over a long-term holding period would be based largely on management's reinvestment decisions. In some cases, the reinvestment opportunities for such companies were primarily in capital-intensive, cyclical assets, which could be a daunting prospect. Although we experienced some success in such businesses, this tended to be a result of us buying into and then selling them well. We did not think we could count on that continuing into the future. We felt more comfortable trying to identify businesses we might be able to own for a decade or more with excellent-owner operator CEOs at the helm.

One example dates back to 2011, when we began buying shares in FirstService Corporation, which had a market capitalization of just over $1 billion and owned several businesses, including the commercial real estate services brokerage Colliers International; FirstService Residential, the largest manager of housing units in the United States; and several well-known housing-related franchise businesses, such as California Closets. But most important, FirstService Corporation had Jay Hennick, who had compounded the share price since the company went public in 1995 at 20% per year. Hennick is a natural entrepreneur. His first job as a lifeguard in high school sparked the idea of starting a pool-cleaning business, which opened his mind to the opportunities available in selling a broad array of real estate services. Hennick has taken the approach of "creating value one step at a time." By 2015, FirstService and Colliers had become separate public companies, with a combined market capitalization of over $10 billion, and Colliers has since developed a real estate fund management business with $88 billion of assets under management, another real estate services business, which did not exist when we purchased our first shares; good things happen when you invest with good people with the right priorities. (The opposite is also true—unfortunately, we have learned this lesson the hard way.)